

## 1.0 INTRODUCTION

Akuapem Rural Bank Plc objective of having a Code of Conduct is to address both business and social relationships that may present legal and ethical concerns and also set forth a code of conduct to guide employees.

It is Akuapem Rural Bank Plc's policy that employees do not engage in personal conduct that would conflict with the interest of the Bank. All employees are required to disclose any potential conflict of interest, including one in which they have been inadvertently placed as a result of a business or personal relationship with a customer, supplier, and business associate or competitor of the Bank.

If Management Member or any other Officers reports a potential conflict to a supervisor, it is the supervisor's responsibility to review the situation and instruct the employee as to the appropriate action consistent with the policy. The Bank shall maintain written records of all such disclosures which would be by the Bank's Human Resource Department.

## 1.1 COMPLIANCE WITH LAWS AND REGULATIONS

It is the policy of Akuapem Rural Bank Plc to fully comply with the spirit and intent of all applicable laws and regulations both internal and national. The Bank expects its employees to use good judgment and high ethical standards and to refrain from any form of illegal, dishonest or unethical conduct.

## 1.2 PURPOSE

It is the policy of the Bank to conduct its business in accordance with the highest ethical standards in order to meet and maintain the complete confidence and trust of its customers and the public in general. Employees must conduct their personal affairs and manage their business transactions in a manner that does not result in adverse comments or criticism from the public or in any way damage the Bank's reputation as a responsible financial service institution.

## 1.3 SCOPE

This policy must be adhered to by all employees at all times.

### NOTE:

The term "employee" refers to all Management Staff, Officers and Casual workers of Akuapem Rural Bank Plc.

### **1.3.1 GENERAL PRINCIPLES**

This Code of Conduct (hereafter "the Code") sets out the rules applicable in matters of professional ethics and behavior and is to be read in conjunction with all other Laws, Regulations and Directives related to Banking and Labour.

### **1.4 RESPONSIBILITY OF ALL EMPLOYEES**

The responsibilities of the banking industry necessitates that we conduct our day to day activities in an ethical and responsible manner without conflict of interest or violation of laws or policies of the Bank.

Akuapem Rural Bank Plc respects all individuals' rights to engage in activities outside their employment that are private in nature, such as social, community, political or religious activities. However, each Management member, Officer and an employee is expected to protect the Bank's interest and avoid undue outside influence on work-related decisions or activities and to comply with all applicable laws and regulations and the Bank's policies in this regard.

The maintenance of high standards of industry best practices, honesty, integrity, impartiality, and proper conduct by management members and employees of the Bank is essential to ensure the proper conduct of the Bank's business and continued public confidence and trust in the Bank.

The Bank aims to provide a positive working environment that enables and encourages employees to work together in a culture of mutual support and cooperation. Within this environment, employees must behave courteously and respectfully towards their colleagues and shall, at all times, maintain an attitude consistent with the character of the Bank.

Employees are entitled to receive clear instructions from their superiors regarding their duties. Employees are to perform their duties with honesty, constructive observations, free from prejudice, favoritism or ulterior motives.

Management staffs are expected to behave in an exemplary fashion as regards adherence to the rules and principles laid down in this Code.

### **1.5 FULL DISCLOSURE**

It is the responsibility of all staff performing financial functions in the Bank to ensure full, fair, accurate, timely, and understandable disclosure in reports and documents that the Bank files, and in other public communications made by the Bank and should be in accordance with Data Protection Act and all regulations regarding Banking.

## 2.0 ADMINISTRATION OF THE CODE OF ETHICS

It is the responsibility of each employee to be familiar with the Bank's Code of Conduct and Professional Ethics. Supervising officers are expected to make every reasonable effort to ensure that their staffs continue to comply with the provisions of this Code.

1. The Board of Directors shall administer the Code; determine matters of interpretation and coordination as it relates to Executive Officers and Management members. The continued implementation of the Code shall be accomplished by Audit, Internal Control, Risk and Compliance examination and Human Resource procedures.
2. Management shall administer the Code, determine matters of preliminary interpretation and coordinate periodic changes to the Code as it relates to employees and make recommendations to the Board of Directors for consideration and approval.
3. Employees are encouraged to seek the advice of the appropriate supervisor regarding questions of interpretation and of the applicability of the provisions of the Code to a particular situation.
4. Any staff including Management members who violate the provisions of the Code may be subject to appropriate sanctions as stipulated in the Human Resource Policy of the Bank.
5. **Relation to Other Bank Policies Governing Employee Actions and Responsibilities.**

The Code is only one part of a broad, inter-related set of Bank policies, principles, rules, regulations or guidelines governing the responsibilities and actions of the Bank and its employees. It must be read and interpreted in the context of these other policies and is not intended to supersede or replace any of them. Rather, it is intended as complementary and shall be interpreted and applied in a manner that avoids conflict and overlap with other Bank policies and laws of Ghana.

### 6. **Areas Not Covered.**

The Code is not intended to provide the Bank or its employees with answers or guidance for every ethical issue that may arise in the course of the Bank's activities or in an employee's working relationship with the Bank. Reference to the Code set forth below and reliance on common sense and good judgment will help resolve issues not specifically dealt with in the Code. However, in case of doubt, the staff member shall always seek guidance by consulting with their immediate supervisor.

## **2.1 WAIVERS**

Any deviation by the Chief Executive Officer, Finance representatives, or persons performing similar functions from this code of conduct may be made only with the prior consent of the Board of Directors.

## **2.2 DEVOTION OF TIME TO OFFICIAL DUTIES**

Officers and employees of the Bank are required to devote full business time for which they are employed to the effective accomplishment of the duties assigned them. They are also expected to refrain from accepting compensation for activities, even for services rendered outside of the business hours for which they are employed, which might embarrass or reflect adversely on the Bank or impair their ability to perform their assigned duties.

## **2.3 DUTY TO REPORT**

Employees who reasonably suspect illegal activities, grave misconduct and/or violations of the Bank's regulations, policies or guidelines, including but not limited to the Code, must without delay, bring the relevant facts to the attention of the Bank officer indicated in the relevant provisions of the Code.

According to the AML/ CFT Guidelines on Fighting Corruption, Fraud, Money Laundering and the Financing of Terrorism, any employee who becomes aware of evidence which gives rise to a presumption of the existence of a possible case of fraud, corruption or any other illegal activity detrimental to the financial interests of the Bank must report without delay to their immediate Supervisor. If it relates to their immediate supervisor then it should be reported to higher Authority according to the Chain of Command.

## **2.4 CONFIDENTIAL TREATMENT AND PROTECTION**

The Bank will ensure confidentiality and refrain from discriminatory or disciplinary action against employees who make bona fide reports on the alleged illegal activities, misconduct or violations. In so doing, the Bank will ensure that employees who have made such bona fide reports enjoy assistance and protection in accordance with its duty of care.

## **2.5 DISCIPLINARY MEASURES AND POSSIBLE LEGAL PROCEEDINGS**

All persons subject to the Code who knowingly violate the duties and obligations contained therein shall be liable, depending upon the seriousness of the infringement, to one of the disciplinary measures provided for in the HR Policy or, where those measures do not apply to them, risk having their employment terminated by the Bank. Such measures shall not preclude the Bank from initiating any legal proceedings that it deems appropriate.

Employees may put forward their objections at all stages of any disciplinary proceedings instituted against them per the HR Policy.

## **2.6 CONFIDENTIALITY**

Employees are bound by the obligation of confidentiality in respect of information received in the course of their duties, in accordance with the relevant the Bank's rules, policies and guidelines. They shall continue to be bound by this obligation after leaving the service of the Bank and would be sanction accordingly incase of breach.

This obligation is expressed in particularly strict terms. It reflects the banking nature of the institution and serves to establish relations of trust with its borrowers and other business partners.

## **3.0 CONFLICTS OF INTEREST**

### **3.1 GIFTS AND ENTERTAINMENT**

Gifts, business entertainment or other benefits are often accepted as a legitimate and recognized part of commercial life. They are also often part of the traditional festive occasions. Problems, however, arise when they begin to compromise – or even appear to compromise – commercial relationships.

For this reason, employees are not permitted, as a general rule, to offer or accept gifts or other benefits.

Specific exceptions to this prohibition are made if there appears to be no reasonable likelihood of improper influence on the employee's performance of their duties on behalf of the Bank. The personal benefit, however, must be one of the following:

1. Normal business courtesies, such as a meal, refreshment or entertainment of reasonable value, involving no more than ordinary amenities, in the course of a meeting or other occasion, the purpose of which is to hold bona fide business discussions.
2. Non-cash gifts of reasonable value (under GHS100.00) such as received at special occasions, such as a promotion, wedding, or retirement that represents expression of friendship.
3. Gifts based upon obvious family or personal relationships when the circumstances make it clear that it is those relationships, rather than the business of the Bank, which are the motivating factors.
4. Unsolicited advertising and promotional material of nominal value, such as pens, pencils, note pads, key chains and calendars.

5. Awards given by charitable, educational, or religious organizations for meritorious contributions or service.
6. Loans from other banks or financial institutions on customary terms to finance proper and usual activities, such as home mortgage loans, except where prohibited by the HR Policy of the Bank.
7. Discounts or rebates on merchandise or services that do not exceed those available to other customers.

Any personal benefit received, other than the exceptions noted above, is to be reported by the staff to his or her supervisor and forwarded to the Human Resource Department. The supervisor will review the situation and instruct the staff as to the appropriate action. The Human Resource Department retains written records of all such disclosures.

It is important to recognize that the law makes it a crime for any management member or employee of the Bank, directly or indirectly, to ask, solicit, accept, and receive or agree to receive anything of value, for himself or for any other person or entity, for or in connection with any transaction or business of Akuapem Rural Bank Plc. Any offer of such an improper payment should be immediately reported to the staff's supervisor.

### **3.2 POLITICAL CONTRIBUTIONS**

It is the policy of the Bank to strictly comply with all applicable political campaign laws.

1. The Bank shall not make any contribution or expenditure in connection with any election to any political office, or in connection with any primary election or political convention or caucus held to select candidates for political office.
2. In accordance, no employee shall make any direct or indirect contribution of funds or other property of the Bank in connection with the election of a candidate to any political office. For these purposes, use of the corporate facilities and equipment for political activities is deemed to be a contribution.
3. Loans to a candidate for political office or to a political committee are not prohibited so long as the loan is made in the ordinary course of business and meets the Bank's usual credit criteria and approval procedures for the particular type of loan.
4. The Bank's policy regarding corporate political contributions is not intended to discourage employees from making personal contributions to candidates or political parties of their choice. No employee shall take an active part or

issue public statements relating to the nomination or candidacy of any person for national or regional elective office that would implicate by support endorsement or otherwise his/her connection with the Bank. This statement shall not be construed to prohibit an employee from expressing their personal opinion on political affairs or candidates or making voluntary contributions.

5. No officer, employee or agent of the Bank shall hold a public office, or be a candidate for such office, unless the Bank has determined that such candidacy or holding of public office would not bring justified criticism on the grounds of political activities or partialities or any other manner adversely impacting the best interest of the Bank. All determinations made shall be reported in writing and approved by the Board of Directors.

### **3.3 OUTSIDE ACTIVITIES**

1. The Bank discourages employees from holding outside employment. In those instances where it is justified, written approval from the Human Resource Department is required. No outside employment or activity will be approved which might subject the bank to criticism or which will encroach upon regular working hours, interfere with regular duties, or necessitate such long hours as to affect the employee's productivity.
2. The Bank encourages individual participation in civic activities. Normally, voluntary efforts must take place outside of regular business hours. If voluntary efforts require business time, the employee should obtain prior approval. Employees are not to act, without prior written approval of management, as executor, administrator, trustee, guardian or conservator, or in any other fiduciary capacity, whether or not it is related to the business of the Bank. Approval, except in unusual cases, will normally be granted to act as fiduciary for a family member.

### **3.4 PERSONAL FINANCES**

1. Personal finances should be managed in a manner consistent with employment in a financial institution. Employees and their immediate families should borrow only from reputable organizations, which regularly lend money, and such borrowings should carry the prevailing rate of interest and not involve favored treatment of any kind. Borrowing from relatives is not subject to restriction.
2. Employees are not permitted to borrow money from their coworkers, but should discuss any financial emergency with the Human Resource Department.
3. Employees should not sign on customers' accounts; or otherwise represent customers. This does not include customers related to the staff by blood or marriage.

4. Employees shall not overdraw their staff current accounts. Whenever a staff wants to make deposits into their staff accounts, they must seek prior approval from the Branch Manager.

### **3.5 PERSONAL INVESTMENT ACTIVITY**

While Akuapem Rural Bank Plc does not intend to unreasonably limit employees in their personal investment activities, it is the Bank's policy that no employee enter into investment transactions which would create, or give the appearance of creating, a conflict of interest between the employee and the Bank or between the Bank and any customer.

### **3.6 USE OF COMPANY PROPERTY**

No Management member or any Officer shall use the Bank's space, personal property, telecommunication equipment, transportation, or other facility of the Bank for activities or business in their personal interest or the personal interest of another. Except under lease, contract, concession, or authorization in writing, pursuant to agreements and negotiations authorized in writing, setting forth the terms and conditions of such use.

Official Bank stationery shall not be used for personal communication or for communication on controversial public matters expressing opinions that do not represent official views of the Bank.

### **3.7 LENDING PRACTICES**

1. It is the policy of the Bank to maintain prudent lending services to adequately supply the credit needs of its customers. Any rate concessions shall be based solely upon a borrower's creditworthiness and overall business relationship with the Bank.
2. Employees are not in any way to represent or exercise authority on behalf of the Bank, grant direct or indirect accommodations or make credit recommendations with respect to: members of their families; any individual or organization to which the employee or his or her immediate family is indebted; or any organization to which the employee, or his or her immediate family, is associated or in which a material financial interest is held.

### **3.8 GIVING ADVICE TO CUSTOMERS**

Employees may occasionally be asked by customers to comment upon the legality of a particular transaction. Since the Bank cannot practice law or give legal or tax advice, employees must exercise care in discussing transactions with customers and



nothing should be said that might be interpreted as the giving of legal or tax advice.

### **3.9 BANK OPPORTUNITIES**

Employees and management members owe a duty to the Bank to advance its legitimate interest when the opportunity to do so arises.

Employees and management members are prohibited from:

1. Taking for themselves personal opportunities that are discovered through the use of the Bank's property, information or position;
2. Using the Bank property, information or position for personal gain; and
3. Competing with the Bank.

## **4.0 INTERNAL RELATIONS**

### **4.1 GENERAL PRINCIPLES TO BE ADHERED TO IN WORKING WITH COLLEAGUES**

The Bank strives to promote working relations based on loyalty and mutual trust. Relations between colleagues, irrespective of hierarchical levels, should be characterized by cooperativeness, mutual respect and courtesy. Furthermore, each employee should respect the cultural diversity among Bank personnel.

### **4.2 CONFIDENTIALITY OF STAFF INFORMATION**

The general obligation to respect the confidentiality of information applies to the activities of the employee both outside and within the Bank.

It is embodied in rules, policies and guidelines notified to employees governing classification and circulation of information within the Bank in the form of both documentation and computer files.

Specific measures shall be taken to ensure respect for the confidentiality of personal data, in particular to guarantee access to such information to the individuals concerned and, where appropriate, the right to make corrections.

### **4.3 BEHAVIOUR TOWARDS SUBORDINATES**

Superiors shall ensure that the tasks assigned to their Departments or branches are performed properly. They shall also be expected to foster an atmosphere conducive to good working relations and to prevent personal conflicts.

Subordinates must be treated and assessed with respect and without any favoritism. Criticism must be expressed openly and honestly, without innuendoes or veiled threats. Should serious problems arise with subordinates in the performance of their assigned tasks, the Human Resources Department must be promptly informed.

#### **4.4 BEHAVIOUR TOWARDS SUPERIORS**

Employees shall respect the authority of their superiors and carry out faithfully the tasks assigned to them, provided that these are compatible with their duties. They are welcome to offer suggestions and constructive criticism. Any employee who, in the performance of their assigned tasks, encounters serious problems with their superior is entitled to inform the Human Resources Department accordingly, without incurring reproach.

#### **4.5 BEHAVIOUR BETWEEN COLLEAGUES**

The Bank encourages employees to demonstrate a spirit of cooperation in good faith. Misinformation or the withholding of information, unwarranted refusal to collaborate with colleagues as well as, in general, obstructive behavior or systematic denigration, is firmly discouraged at all levels.

#### **4.6 DIGNITY AT WORK**

Harassment and bullying of any kind are unacceptable. Victims of any harassment or bullying may in accordance with the Bank's HR Policy, bring the matter to the attention of the Human Resource Department, without this being held against them. The Bank is obliged to show those in question concerns and offer its support.

##### **4.6.1 PSYCHOLOGICAL HARASSMENT**

This takes the form of repeatedly hostile or tasteless remarks, acts or behavior over a fairly long period by one or more employees towards another employee. A disagreeable remark or a quarrel in the course of which unpleasant words are voiced in the heat of the moment cannot be said to constitute psychological harassment. On the other hand, when repeated consistently for weeks or months on end, incessant outbursts of temper, victimization, disagreeable remarks or hurtful innuendoes are clear signs of harassment in the workplace.

##### **4.6.2 SEXUAL HARASSMENT**

This consists of any form of sexual overtures or soliciting that is clearly unwelcome to the person for whom it is intended or any clearly unwelcome remark, gesture or behavior with sexual undertones.

### **4.6.3 SEXUAL BLACKMAIL**

This is a particularly serious form of Harassment consisting of any situation in which individuals are explicitly or implicitly intimidated or threatened, with a view to obtaining sexual favors, by someone in a position of authority in the workplace or by someone with influence over their recruitment, professional status or career development.

### **4.6.4 DUTY TO LEND ASSISTANCE**

Any employee who witnesses behavior constituting any form of harassment or bullying is duty-bound to offer their assistance to the victim and to report the situation, following the procedures set up in the Bank's HR Policy, to the Human Resource Department. Employees who, with full awareness of the facts, have prevented or contributed to preventing victims from coming forward or to discrediting them shall be deemed to share responsibility for the situation.

### **4.6.5 AGGRAVATING CIRCUMSTANCES**

Where the perpetrators of a form of harassment are the victim's superior and are able to influence that person's recruitment, professional status or career development and their attitude remains unchanged after having been formally required to cease such harassment, they are guilty of grave misconduct liable to result in dismissal.

## **5.0 CONFIDENTIALITY**

### **5.1 CUSTOMER INFORMATION**

1. Safeguarding the confidential financial information concerning Akuapem Rural Bank Plc's customers is essential in maintaining the public's trust. It is the policy of the Bank that such confidential information acquired by an employee through their employment must be held in the strictest confidence. Such information is to be held for the Bank purposes and not as a basis for personal gain by any employee. Aside from routine credit inquiries, information regarding a customer may generally only be released to private persons, organizations or governmental bodies that request it with the consent of the customer involved or upon receipt of legal process, such as a subpoena or court order.
2. Confidential customer information should never be discussed with anyone outside the Bank, and only with those within the Bank who have a legitimate business need to know. Confidential customer information should never be discussed in public places, even within the the Bank's offices. Employees should be sensitive to the risk of inadvertent disclosure resulting from open

doors, speakerphones, and cellular phones and when transmitting confidential information by fax or other electronic media. Employees shall not during or after employment use or disclose confidential information regarding employees, customers, or Bank internal information without the prior written consent of the Bank except as otherwise authorized. Failure to maintain such confidentiality may subject employees to the Bank's disciplinary actions up to and including termination of employment if employed or legal action if post employment.

## **5.2 AKUAPEM RURAL BANK PLC'S INFORMATION**

Financial or other information regarding the Bank is not to be released to any outside person or organization unless it has been published in reports to shareholders, or otherwise made available to the public through authorized news releases. All news media inquiries must be referred to the Chairman of the Board of Directors, Chief Executive Officer or the Head of Legal of the Bank.

The Bank expects every employee to treat information concerning the Bank and its employees with the same confidentiality as information concerning customers of the Bank and to observe, with respect to the Bank, the same guidelines set forth in the section above.

## **5.3 MATERIAL INSIDE INFORMATION**

The disclosure of "material inside information" subjects employees, the Bank and third parties to whom the information is communicated to severe penalties. Information is "material" when there is a significant likelihood that a reasonable investor would think the information is important in making an investment decision.

Information is "inside" when it has not been disseminated to the public at large. Any employee possessing such material inside information must not trade in or recommend the purchase or sale of the securities involved until the information is actually disseminated to the public.

Management members and employees must not disclose confidential information of a non-public nature to any third party without consideration of the various privacy regulations. All non-public information is only to be transmitted to another officer, director or employee on a need to know basis.

## **5.4 INSIDER TRADING**

Employees and management of Akuapem Rural Bank Plc are frequently entrusted with possession of confidential and highly sensitive information concerning the Bank, its clients or other businesses with which or the Bank has material contractual relationships or with which or the Bank may be in the process of negotiating material transactions ("Confidential Parties").

As long as an employee of the Bank is aware of material non-public information relating to the Bank, any of its clients or any confidential party, it is the Bank's policy that such an employee may not buy or sell the securities of the Bank, the client or the confidential party, as applicable, regardless of how that information was obtained. Equally important, the employee must maintain such information in the strictest confidences.

An employee of the Bank must also not permit any member of their immediate family or anyone acting on their behalf, or anyone to whom they has disclosed such information, to purchase or sell such securities.

After the information has been publicly disclosed through appropriate channels, employees and management of the Bank should nevertheless allow a reasonable time to elapse (usually three business days) before trading in the security, to allow for broad public dissemination and evaluation of the information.

## **5.5 PRIVACY**

In order to assure access at all times to the Bank's property, and because employees may not always be available to produce various documents, records, files or other items in their possession in the ordinary course of business, the Bank reserves the right to conduct a routine inspection or search of the Bank's premises at any time, without the consent of the employee.

The Bank's premises include all locations owned or leased by the Bank or under the control of the Bank, including office space, parking lots, closets, storage areas and lockers. The Bank property includes all tangible and intangible personal property of the Bank, including, without limitation, all furniture, equipment, file cabinets, computer hardware and software, licenses and copyrights. The foregoing includes all communications and transmissions of any kind, including all information stored on any hardware, software, electronic disk, voicemail, e-mail and all other electronic communication media. Routine searches and inspections may include an employee's office, desk, file cabinets, closet, locker, computer files, whether contained on a hard drive or floppy disk, including past and present e-mail communications, and similar places where the Bank's property may be located, whether or not such places are locked. All system pass codes must be available to the Bank at all times.

Employees are prohibited from the using the code of another employee to gain access to that individual's computer system or any software application.

Employees are prohibited from using the Bank's information systems in any way that might be considered disruptive or offensive to others, including customers and vendors.

Personal or inappropriate use of the Bank's information systems may result in disciplinary action, up to and including termination of appointment. Inappropriate transmission includes, but is not limited to, sexually explicit messages, offensive language and ethnic, racial and gender specific slurs.

## **5.6 E-MAIL/INTERNET POLICY**

Akuapem Rural Bank Plc promotes the use of advanced technology and provides employees with access to e-mail, the Internet and the worldwide web (collectively, "on-line services"). Although occasional use of on-line services for personal, non-business use is acceptable, employees are not allowed to use them for any significant amount of personal use. The Bank reserves the right to review all electronic files and messages and to monitor usage to the extent necessary to ensure that online services are used in compliance with the law and with the Bank's policy. Employees must provide reasonable assistance to the Bank if so requested as part of such monitoring.

Employees must respect the confidentiality of all on-line service communications and may not read, revise or monitor the communications of other employees or third parties, including customers, except with the approval of management. However, as stated above, employees must recognize that their own usage of on-line services is subject to review by the Bank and, therefore, is not confidential. All messages and information sent by an employee to others, including customers, via on-line services may reflect on the Bank. Employees are prohibited from using the Bank's on-line services in any way that might be considered disruptive or offensive to others, including customers. Inappropriate transmission includes, but is not limited to, sexually explicit messages, offensive language and ethnic, racial and gender specific slurs. Any employee who abuses the privilege of access to and use of on-line services may be subject to disciplinary action, up to and including termination of appointment.

## **6.0 EVASIONS AND CIRCUMVENTIONS OF RULES OF CONDUCT**

### **6.1 AVOIDANCE**

No employee shall use any scheme or device to avoid compliance with any of the rules, or guidelines established or avoid compliance with the intent of those rules through the use of subterfuge, evasions, or circumventions. Examples of acts of subterfuge or circumventions include:

Obtaining a loan or assisting another borrower to obtain a loan from the Bank knowing that the proceeds thereof are planned to be used to provide financing for a person who is ineligible for such a loan; and

Including or assisting another person to obtain a loan from the Bank, the proceeds of which are planned to be used for the employee's benefit or for the benefit of any legal entity in which the employee has a direct or indirect personal interest will be subject to outright dismissal.

Management engagement in unionism is prohibited or not allowed since it will result in Conflict of Interest.

## **6.2 LIMITATIONS ON BEING AN OFFICER IN OTHER ENTITIES**

Management and employees shall not serve as an Officer or Director of an organization that transacts business with the Bank unless the Board of Directors has determined that the involvement by the Bank and the type of lending engaged in or the involvement is so trivial as to create little probability of any significant impact upon the Bank business.

Management and employees shall not participate in Bank financial discussions with the organization, which will have more than nominal significance to the Bank, or organization.

## **6.3 DEALINGS WITH COMPETITORS**

The policy of Akuapem Rural Bank Plc is to require employees to observe fair and ethical conduct in dealing with the Bank's competitors. The making of disparaging remarks regarding the Bank's competitors is considered to be inappropriate and unethical. The Bank's strategy is to emphasize the quality and competence of its employees and services. Employees are prohibited from involving the Bank in arrangements with its competitors that provide for the setting or controlling of rates, prices or marketing policies.

## **6.4 EXCLUSIVE DEALINGS AND TYING ARRANGEMENTS**

It is the policy of Akuapem Rural Bank Plc that it does not condition the sale of services to a customer upon the condition that the customer must purchase other services from the Bank or upon the condition that the customer is prohibited from dealing with other suppliers of such services.

## **6.5 DEALINGS WITH AUDITORS**

Employees are required to fully cooperate with audits conducted by the Bank's Internal Audit Department or external auditing firms. Questions raised by the auditors must be responded to honestly and no adverse information may be concealed.

## **6.6 FALSIFICATION OF BOOKS AND RECORDS:**

It is the policy of the Bank to maintain records and accounts that accurately reflect its assets, liabilities, receipts and disbursements. The falsification of any books, records or documents of the Bank is grounds for dismissal.

## **7.0 PROMPT INTERNAL REPORTING**

### **7.1 REPORTS BY EMPLOYEES AND MANAGEMENT**

#### **7.1.1 INSTANCES OF POTENTIAL CONFLICTS OR APPEARANCE OF CONFLICT**

A Management member or employee involved, or whose interest in any transaction in which potential conflict of interest or prohibited acts may be applicable shall report in writing and disclose his/her interest and status in the matter unless, in the case of a loan application, the application itself discloses such information.

#### **7.1.2 REPORTING**

Prompt internal reporting to an appropriate person or persons is required by this Code. For purposes of internal reporting the appropriate person or persons is any one of the following:

1. The immediate Supervisor
2. The Management member responsible for the Supervisor
3. The Head, HR
4. The CEO or Head, Legal

Anyone reporting in good faith is to be handled in confidentiality and the person or persons making the report are free from reprisal. It is the duty of the person or persons receiving the information to act appropriately and inform the HR/ Governance Subcommittee. The HR Sub Committee is under a duty to investigate the matter by any means that it deems appropriate including seeking expert counsel. The Internal Audit Department will investigate any case involving a potential conflict of interest or prohibited act to determine if any action is necessary or advisable.

A copy of the investigation report shall be submitted to the Board of Directors for further action.

#### **7.1.3 ACCOUNTABILITY**

The Bank shall, with regard to any prohibited act, or conflict of interest investigation report, take prompt action in a manner that will assure integrity of the Bank and the confidence of the public toward the Bank. Prompt action will include disciplinary action up to and including appropriate sanction. The violation of any of the above guidelines by an officer or employee could result in termination of employment. Violation by a Management member could result in requesting the resignation of the Management member.



## **8.0 SANCTIONS**

The HR Policy would be referred to regarding sanctions on violations of any provisions in this code by a staff of the Akuapem Rural Bank Plc.

## **9.0 REVIEW OF POLICY**

This policy is to be reviewed annually by the Management of ARB. There is to be annual training on the policy for all Management members and employees of the Bank. This policy is to be read and acknowledged as having been received, read and understood by staff of the Bank.